50% reduced CO_2 intensity*

40% women in leading positions

With equal-opportunity and climate-smart operations, we seek to build an attractive and sustainable organisation.

* Base year 2019/2020

If our employees grow, so will our business. Accordingly, Addtech's objective is to have the most satisfied and competent employees in the industry.

Entrepreneurship – small scale business, large scale wise

The best business decisions are made by people who live close to the market. For this reason, Addtech is strictly decentralised, allowing our companies to focus on their business and develop their operations in a sustainable direction.

Entrepreneurial spirit and a small-scale approach are key components of Addtech's corporate culture. We have a highly decentralised organisation in which our companies enjoy substantial freedom to act independently. At the same time, each company bears responsibility for meeting high expectations in terms of earnings growth and profitability, and for pursuing its operations in accordance with our Code of Conduct. Our success is very much based on a clear organisational structure, clear targets and our core values; Simplicity – Efficiency – Change – Responsibility and freedom.

"Our strong corporate culture, which focuses on entrepreneurship, forms the core of how we conduct business and operate companies," says Malin Enarson, CFO at Addtech. We want to make matters as straightforward as possible for our companies and we work consistently with our group-wide culture, through which simplicity specifically, runs as a common thread.

By means of a constructive dialogue, the Group supports the companies regarding acquisitions, sustainability issues, business development, financing and accounting, for example. Development plans exist in which the companies set targets for sales and margins in particular. Concrete activities are also specified to achieve progress in key areas, such as growth, profitability, sustainability and digitalisation.

Our culture is largely built on the fundamental idea that if our employees grow, the business will also grow. Ultimately, the employees are those who make a difference, and, for this reason, we offer individual development opportunities in an organisation that fosters diversity and equality.

One of Addtech's priority sustainability goals is to achieve 40 percent women in leading positions by 2030. Here, a good example is Leena Tuomikoski, Managing Director of Finnchain – part of the Process Technology business area. The company offers cutting-edge expertise in chain conveyors and specialises in environmental technical applications. Chain-driven sludge conveyor systems for the treatment of sewerage and water are its main product. Covering options with solar cells are also offered, providing energy-efficient and sustainable solutions.

"When I started working at Finnchain in 1992, I was usually the only woman at meetings with our customers," says Leena. Today, I'm happy to say, I often meet women who hold leading positions in the industry. This is particularly true of the environmental area, where Finnchain offers the latest technical and complete solutions with regard to operational reliability.

According to Leena, Finnchain's chain-driven system enables efficient water purification. The company's products also have a long service life, low energy consumption and

"Today I often meet women in leading positions"

Leena Tuomikoski, President, Finnchain

easily recycled components.

"Finnchain's latest product, Solar Cover, which we developed to prevent odour issues and harmful gases in water treatment tanks, is a good example of a sustainable solution," says Leena. Since these roof modules can be fitted with solar panels, the surface area of the tanks can be used to produce renewable energy. The effect will be a significant reduction in the carbon footprint of the customer's operations.

We are facing major global challenges to reduce our shared climate impact. Addtech has set itself the target of halving its CO_2 intensity by 50 percent by 2030, with 2019/2020 as the base year. Our greatest impact derives from goods transports (Scope 3) where we are working to streamline transports and transition to more carbon-efficient alternatives. To reduce emissions from proprietary production and operations (Scopes 1 and 2), we foster vehicle upgrades, energy efficiency and transitioning to renewable energy sources.

Teknikprodukter, which are part of the business area Process Technology, has during the year identified and analysed its transports, primarily to reduce CO_2 at the transport stage.

"At Teknikprodukter, we have, for example, conducted a workshop together with Addtech's sustainability team to challenge ourselves to think outside the box in the area of sustainability," says the company's Managing Director, Per Alfredsson. "The CO_2 impact of our transports is our foremost challenge and the workshop gave us a lot of practical advice and tools for reducing our CO_2 intensity."

Teknikprodukter's offering encompasses sealing, friction and power transmission products for industrial customers. The business concept is based on buying and selling products, mainly from suppliers in Europe, and naturally this requires transport solutions of some kind.

"Following the workshop, we have focused on several improvements and how we can foster more intelligent purchasing behaviour to reduce our CO_2 impact," says Per. "This includes how we plan and coordinate our purchases to optimise loading and reduce the number of trucks driving to and from our central warehouse."

Addtech believes the best teams are diverse in nature, with an even gender distribution playing an important part. It is therefore crucial that we think and behave appropriately, so that more women choose the technical sector in general and Addtech

"We are reducing our CO_2footprint through more intelligent purchasing behaviour,"

Per Alfredsson, Manging Director, Teknikprodukter

in particular. AddQ is a network for women at Addtech companies and aims to encourage more women to choose a career path in the currently male-dominated technology sector. Seminars and other activities are organised to build knowledge, provide mutual support and share experiences. Kristina Kristoffersson is Key Account Manager at Compotech, which is part of the Electrification business area. One of the initiators of AddQ, she considers a broad and open approach important in increasing the proportion of women within the group.

"To safeguard its skills supply, Addtech will need female employees," says Kristina. "This applies to technical roles and sales, as well as senior management positions. Accordingly, concrete tips and tools have been developed within Addtech to increase the proportion of female candidates in our recruitment processes.

The quest for gender equality is a prioritised area of focus for Addtech. We seek to recruit and retain skilled employees, regardless of gender.

"We hope that AddQ will help inspire many women to make careers in the innovative technology industry," says Kristina Kristoffersson. "Addtech is strongly committed to the issue of gender equality in securing appropriate skills for the future. Having workplaces with a mix of men and women enhances our capacity to develop sustainable products and technical solutions."

Sustainable organisation targets

Addtech targets reducing its CO_2 intensity by

50%*

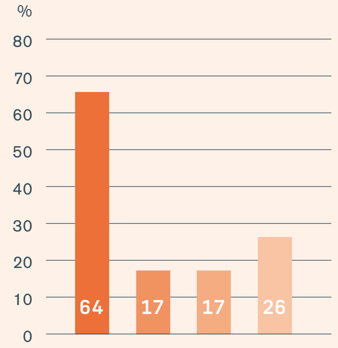
by 2030, and attaining a proportion of women in leading positions of

40%

*Base year 2019/2020 and in line with the Paris Agreement

Proportion of women

Percentage of women per function within Addtech



- Administration, finance, purchasing
- Sales
- Technical service, support, production, warehousing
- All employees

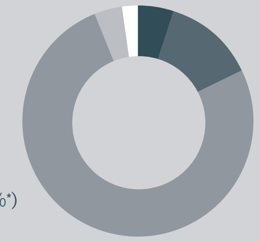
Proportion of women in leading positions

20%

Greenhouse gas emissions 2021/2022

For calculations and the preceding year's figures, see the sustainability facts on pages 133-147.

Total emissions 28,711 (CO_2e tonnes)



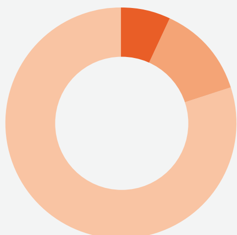
- Emissions from proprietary vehicle fleet (5%*)
- Emissions from energy consumption (13%*)
- Emissions from upstream and downstream freight (76%*)
- Business travel emissions, air travel (4%*)
- Other emissions (2%*)

*Calculation method presented on page 146
**Emissions linked to other fuels and business travel by train

Absence due to illness employees

3%

Distribution of emissions



- Scope 1: 7% of total emissions
- Scope 2: 13% of total emissions
- Scope 3: 80% of total emissions

Scope 1 refers to our direct emissions and Scope 2 consists of emissions from our energy consumption. The majority of our emissions occur within our value chain, that is, within Scope 3, and consists primarily of freight transport and business travel.

Energy consumption

- Energy consumption from renewable sources, 68%
- Energy consumption from non-renewable sources, 32%

Addtech's ambition is to each year enhance its energy consumption by increasing the proportion of electricity and heating we consume that derives from renewable sources. In the Group, this process takes place in a decentralised way, with the conditions for increasing the share of renewable energy varying depending on the country in which the companies operate. Read more under sustainability facts on pages 133-147.

Our employees in focus

"In my team we apply the principle that we should make life as simple as possible for our companies"

Monica Stignäs, Head of Group Finance, Addtech

Here at Addtech's head office, we always keep our 140 companies' best interests in focus. We strive to facilitate and ease matters for them as much as possible. My Group Finance team supports the companies with, reporting, instructions, training and general problem solving in the area of finance, for example. In my view, we are good at working in accordance with the core value of "simplicity" – we endeavour always to be available, providing optimum service for the companies.

I am deeply impressed by our companies' spirit of cooperation – exemplified by their capacity to always meet reporting deadlines. A sense of belonging, unpretentiousness and mutual respect prevails between the Parent Company and the companies. Addtech's Business Area Controllers are the companies' principal contacts regarding ongoing processes. Combined, we serve as an effective support function for the companies and are able to adapt quickly to constant change.

Addtech's corporate culture is very clear and we have always been able to refine it, ensuring that it is always topical. Substantial personal responsibilities are delegated and we try to avoid unnecessary complications. I have also been encouraged to work independently within a successful listed company that is growing and developing amidst constant change.

"Entrepreneurship and innovation run like a common thread through all Addtech's companies."

Mikko Kouvo, Head of R&D at Celltech Solutions Oy

Celltech offers batteries and battery systems for multiple types of applications. From idea to production – from standard products to customised solutions. I started working here because I wanted to be right at the leading edge of development in the electrification of industry. I get to play a role at the Nordic region's leading battery supplier and have the opportunity to influence future battery solutions for applications.

Being part of Addtech gives Celltech stability and access to a large network of matching operations within the Group. There are amazing companies with whom we collaborate here, with a very high degree of technical expertise in their specific areas. I think we are a perfectly fit in the Addtech family, where entrepreneurship and innovation run like a common thread through all of the companies. The decentralised structure also fosters each employee's commitment, really encouraging them to act independently and take personal responsibility.

Celltech will continue to grow thanks to the ongoing electrification of industry. Together with our partners – the world's leading battery manufacturer – I look forward to an exciting journey into the future.

"Addtech's values make it easier to act"

Jonna Suontakanen, warehouse employee, TSP Oy

I have been employed in the warehouse at Addtech company TSP Oy since 2019. We specialise in imports and wholesale of technical products from leading manufacturers in the electrical industry. My job includes picking, packing and delivering products to our customers. I also check incoming shipments, to ensure that all products are of the quality our customers demand.

A major reason for how well I am enjoying my work here is the corporate culture. There is a positive team spirit and we help each other continuously improve and streamline the operations. I see myself as flexible and I like to learn new things. I also like to take personal responsibility, which is really appreciated here at TSP.

I am happy to work for an Addtech company. I like their values – particularly the core values of simplicity, responsibility and freedom, and I believe these permeate how employees think and act on a day-to-day basis. There is also a positive attitude towards living in a changing world and constantly striving to do things a little better – every day.

"Within Addtech, there are great opportunities for co-creation between the companies"

Julian Maruhn, Key Account Manager, Systerra Computer GmbH

I have been working as a Key Account Manager at Systerra Computer since 2017. We offer advanced products in embedded computer systems and network solutions. Addtech acquired us in the summer of 2021, which led to several positive changes. I perceive substantial opportunities for co-creation between the sister companies, for example. With the diversity of advanced companies within the Group, we can work together on many types of projects, deepen the value chain, thereby offering even better technical solutions to our customers.

Addtech has a strong focus on sustainability and an inspiring corporate culture. Thanks to the decentralised structure, Systerra can act independently while also enjoying all of the benefits that exist in the Group. Addtech's sound approach to entrepreneurship, responsibility and freedom makes me feel very positive about the future.

I am really looking forward to deepening the partnership with other group companies, and to developing further as an employee through the training offered by Addtech Academy for example.

How Addtech generates value

By continuously developing and strengthening our sustainability work, we generate value for our customers, suppliers, shareholders and society at large. We maintain a long-term and sustainable perspective in everything we do and safeguarding the resilience of our Group is an important part of our strategy. In our operations and our business we maintain a clear focus on contributing to a more sustainable industry. Our companies support their customers identify optimal and sustainable technical solutions and act as partners and specialists. The companies often act as catalysts in customers' development towards more sustainable operations.

To continue the development towards our vision of "providing leading technical solutions for a sustainable tomorrow", we apply Group-wide sustainability targets in our three focus areas: sustainable business, sustainable organisation and sustainable supply chain. To achieve our targets and secure sustainable development in industry, we need to collaborate and build strong partnerships along our value chain.

Our focus areas, including quantifiable, time bound 2030 goals, establish a clear direction for our development and the value we generate. We apply a shared sustainability strategy, having integrated our focus areas into our strategic planning. In accordance with our decentralised model, all of our companies have prepared action plans and activities to secure their development towards our 2030 goals.

Our three focus areas are based on the areas of highest priority, for Addtech and its stakeholders alike (see table on page 138). We have translated the outcome of our materiality analysis into a sustainability model illustrating the areas we prioritise highest and how these are linked to the UN Sustainable Development Goals (SDGs).

100%
of sales shall contribute to sustainable development*

50%
reduced CO_2 intensity**

40%
women in leading positions

80%
of the purchase volume assessed based on our Code of Conduct

* Percentage of sales contributing to development towards the UN's Sustainable Development Goals.
** Base year 2019/2020, includes Scope 1, 2 and 3 (category 3, 4, 6, 9).

Our sustainability model

Sustainable business

By offering technical solutions that contribute to our customers' transition and development, we aim to generate sustainable business.

Sustainable organisation

With equal-opportunity and climate-smart operations, we seek to build an attractive and sustainable organisation.

Sustainable supply chain

Through structured supplier follow-ups, we want to promote good working conditions and responsible production for a sustainable supply chain.

Sustainability governance

Ultimately, the Group's Board of Directors, is responsible, through Group Management, for Addtech's overall, long-term sustainability targets. Addtech's Head of Sustainability, who reports to the CEO, is responsible for continuously monitoring and reporting on development and key indicators and for supporting the companies with regard to sustainability. The overarching objectives are supplemented by the individual business areas and companies, which prepare sub-targets, action plans and activities. Our operational sustainability efforts are conducted in line with our well-established corporate culture through decentralised responsibilities in our companies. Addtech practices active ownership through Board work and follow-up. Each year, the companies report their key indicators, detail their individual sustainability efforts, report on activities designed to help achieve our shared 2030 goals. If deficiencies are identified, the companies apply appropriate measures with the support of the Group. A clear goal within our acquisition strategy is to acquire companies in areas that drive development towards more sustainable industries and communities. In our acquisition process, sustainability is an important parameter in identifying potential acquisitions and is integrated into the Due Diligence process. To ensure that newly acquired companies are integrated into our Group-wide sustainability work, sustainability is included in our introductory programme for new companies (see page 24). Addtech continuously conducts skills-enhancing efforts in sustainability. For example, the management team is continuously trained in relevant issues, we hold inspiring and skills-enhancing seminars, offer individual training courses for our companies and apply the concept of "Train the trainer" – where employees from our companies are trained in sustainability and then further train their colleagues.

Sustainable business

Addtech seeks to be part of the transition to more sustainable industry and to a more sustainable society. We perceive considerable opportunities in transactions with a favourable external impact. We attach great importance to building partnerships along our value chain to enable and optimise our contribution towards the transition to a more sustainable future and to increase the share of sales that contribute positively to development towards the sustainable development goals. Over the year, to safeguard long-term sustainable profitability, we continued to train the organisation in sustainability-related risks and opportunities, focusing on business development.

The purpose of the key indicator for sustainable business is to monitor the development, over time, of the share of sales contributing positively to sustainable development.

This year's survey shows that 58 percent of Addtech's sales contribute positively towards the UN Sustainable Development Goals. On pages 19-23, you can read more about examples of our offerings and products contributing to sustainable development.

Sustainable organisation

We want to ensure that we are well-equipped for the future. Our employees are our most important asset. They are driven by helping their customers identify the best technical solution in a strong entrepreneurial spirit. Our companies make a positive contribution to the local communities in which they operate by being attractive, committed employers who support, for example, local youth unions or who collaborate with schools. Several of our Swedish companies participate in the Tekniksprånget (Technology Leap) initiative, with the aim of increasing young people's interest in applying to engineering programmes.

In our view, we face major global challenges in reducing our common impact on climate and are therefore working to ensure that Addtech's impact is reduced. We take responsibility for reducing our negative impact in terms of development towards sustainable development goals and have identified our impact as primarily concerning goals numbers 13 and 8. Here, we work systematically to reduce our impact on the climate for example through further energy efficiency improvements, optimised logistics chains and safeguarding favourable production conditions at the supplier level.

Climate impact

We work systematically to streamline and reduce our consumption of resources, and our emissions of greenhouse gases to achieve our climate goal by 2030. Our target means that we will reduce our carbon dioxide intensity by 50 percent by 2030, from the base year 2019/2020, a target that is in line with the Paris Agreement. During the year, we continued our work with internal courses in climate impact and our climate objective is integrated into our strategic planning.

Emissions from our own production and operations (Scopes 1 and 2) account for a minor part of Addtech's total climate impact. At the same time, we maintain control within our own operations, continuing the process of upgrading vehicles, enhancing energy efficiency and switching to renewable energy sources. Our companies have varied operations and different geographical conditions and it is therefore important that, in accordance with our decentralised model, the companies determine their own targets and activities in line with our 2030 goals.

Addtech's reduced carbon dioxide intensity of 19 percent from the base year (2019/2020), derives primarily from increased sales with a slight increase in emissions of climate gases, in other words, some decoupling of growth based on the areas we measure (Scope 1, 2, freight transport and business travel in Scope 3). The reduced carbon dioxide intensity is also affected by efficiency enhancements to freight transports and an upgraded data reporting process. Freight transport (Scope 3) continue to account for the majority of Addtech's greenhouse gas emissions (76 percent), with air freight accounting for 44 percent. Despite the persistent lack of components and challenges in transport chains, emissions in many companies remained at the same level as in the preceding year. We will continue to focus on optimising loading, planning and mode of transport to reduce our climate impact. We believe that we will be able to collaborate within our value chains and, above all, to influence our customers' choice of transport method. Over the year, we continued our efforts to shift to more renewable sources in the energy we consume, increasing to 68 percent (63) of renewable energy in 2021/2022, which also affects the results of our KPI for market-based energy consumption.

The pandemic has resulted in a changed pattern of behaviour for business travel and we see that, to some extent, this effect persists even after restrictions have been rescinded. We are seeing a small increase in business travel during the year, in which primarily trips to customers to perform service and to hold customer meetings represent the increase. We will continue to take a favourable view of this changed behaviour, now that we have entered a time without travel restrictions, and we will continue to take efforts to reduce our business travel significantly. This has additional favourable effects, such as reduced costs, higher efficiency and, in some cases, a better work-life balance.

We are aware that purchased raw materials, the production of purchased products and the use of the products sold, constitute a relevant share of our indirect climate impact. Although we regard the area as challenging, we have an ambition to develop our Scope 3 reporting over time by gradually increasing the proportion of categories included.

Efficient resource management

Addtech's sustainability and environmental policy is the basis for how our companies integrate environmental issues into their operations. Important areas include optimising and reducing the amount of consumed energy, water, regulated products and reducing the amount of waste. The number of producing companies is limited and Addtech's impact on waste and water consumption is low. This year's reporting of water consumption showed that 2 percent of the companies use a smaller amount of water in their production. To obtain a clearer view of Addtech's impact on biodiversity, a study is planned in order to identify risks and increase knowledge.

For Addtech, it is important that our companies offer more circular solutions and products in the future. It is therefore important, over time, to head towards products manufactured from recycled materials and recycled at the end of life. Several of our companies are certified in accordance with ISO 14001 and work in an integrated manner to systematically reduce their impact on the environment. No environmental incidents were recorded during the year.

Gender equality and equal opportunities

Addtech has zero tolerance for all forms of discrimination, harassment, sexual harassment and bullying, and this is communicated in Addtech's Equality & Diversity Policy and Code of Conduct and Supplier Code of Conduct. We seek to be an attractive employer that attracts skilled employees to secure a positive development and increased well-being. We are convinced that diversified teams are an important parameter in achieving this and, accordingly, seek employees with different backgrounds. We also seek to increase the proportion of women and promote female leadership. We have developed a guide to increase diversity among candidates in recruitment, and we also demand that female candidates be represented in all recruitments for management positions. We currently have 20 percent (19) women in leading positions. The increase from the preceding year is a result of 19 more women entering management positions. Today, Addtech has 9 female Managing Directors in our companies, an increase by four from the preceding year, with two female Managing Directors coming from the companies acquired during the year.

Health and safety

Addtech applies a zero vision when it comes to work-related accidents and illnesses. We foster a safe working environment, good health and well-being among all of our employees, including consultants and contract workers. We continuously follow up key indicators for health and safety at our companies. This year, the number of accidents reported increased from 38 to 44. None of the accidents had a serious outcome and all were followed up with corrective measures. To some extent, the increase derives from cases of Covid infection occurring at the workplace being reported as accidents.

The pandemic brought new circumstances for safeguarding the health and safety of our employees. All of the companies have made adjustments based on their local conditions and guidelines to ensure that they have a good working environment. The regular employee survey will be conducted in 2022, including all employees at Addtech. The average absence due to illness of 3 percent remained unchanged from the preceding year.

Business ethics

Alongside our core values, our Code of Conduct forms the basis for how we conduct business, behave and act in our day-to-day work and in our relationships with the external community. Addtech has a clearly communicated zero tolerance for all forms of bribery, corruption and irregularities, applicable to all of our employees and partners. The basis for our work with suppliers is our Supplier Code of Conduct, which includes our anti-corruption policy. The Supplier Code of Conduct and the Code of Conduct are approved annually by the Board of Directors. The codes can be found on our website www.addtech.com. Read more about our Supplier Code of Conduct on pages 44-47. Addtech's Code of Conduct encompasses all of the companies and all employees. Addtech continuously trains our companies' Managing Directors in core values and the Code of Conduct, which they are responsible for passing on to their organisations. The responsibility to counteract irregularities, and efforts in this direction, apply to the entire Addtech value chain, as communicated in the Code of Conduct and Supplier Code of Conduct. Each year, a risk analysis is performed on our companies and purchasing volumes per country, with the Transparency International Index being included as a parameter. Following the ongoing invasion of Ukraine, trade sanctions have been imposed on Russia, which has little impact on Addtech's value chain (see page 53).

Whistle-blower function

We do not tolerate any form of irregularity in violation of any legislation or of our Code of Conduct. If this nonetheless occurs, our objective is to enable the reporting of violations of the Code of Conduct, the Supplier Code of Conduct or of legislation, or suspicions thereof, in a simple and anonymous manner. Our whistle-blower service is available to all employees and external partners. All reports submitted are handled confidentially and professionally by an internal council and, if necessary, a third-party expert in accordance with established procedures. The follow-up of reported cases focuses on consequences, changes and preventive measures. In the event that a suspected violation would affect a member of the council, that individual is excluded from participating in the investigation, and an independent third party is engaged for the purposes of investigation.

The whistle-blower function has been implemented via our companies' Managing Directors, who have informed their employees and union representatives. The whistle-blower function is available at www.addtech.com, in our Code of Conduct and Supplier Code of Conduct and in our supplier follow-up platform. During the year, we had a total of 13 (6) registered reports in our whistle-blower service. All cases were investigated during the year, preventive measures were implemented and all cases were closed. The majority of reported cases relate to weak leadership and discrimination, which has led us to strengthen follow-up in these areas in our updated employee survey.

Sustainable supply chain

Our companies' supply chains are global and rely on a network of suppliers, with 30 percent of purchases being made from Nordic countries and 49 percent from the rest of Europe. Purchases from Germany, Sweden, China and Hong Kong account for 44 percent of total purchases. In some cases, global supply chains entail increased sustainability risks. The annual risk analysis (see definition below) shows that 18 percent of our purchasing volume is linked to suppliers who are in a country with medium risk and 1 percent is linked to suppliers who are in a country with high risk. We continuously train and encourage the companies to work with sustainability risks and to perform supplier evaluations. Our supplier relations are often long-term in nature and are characterised by close cooperation on how the supplier's products can be used in different customer applications. The collaboration benefits quality, price, lead times and customer satisfaction, while at the same time providing us with favourable conditions for constructive dialogue with suppliers regarding sustainability risks and continued development. During the year, there were several collaborations between our companies that have shared suppliers, where sustainability dialogues were conducted together, which has shown positive results in supplier evaluations.

The basis for cooperation with suppliers is our Code of Conduct for suppliers. In dialogue, we ensure that the requirements in our Code are minimum requirements in areas such as: human rights, working conditions, equal treatment, anti-corruption and the environment. We also have zero tolerance areas requiring immediate action in the case of identified deviations. Each year, we map the Group's suppliers and what sustainability activities have been performed, increasing traceability, transparency and the opportunity to identify risks linked to different areas within the Supplier Code of Conduct. During the year, we trained key people in the companies within the related risks of sustainability at the supplier level. We consider it important that all those who have direct contact with suppliers gain increased awareness, enabling us to work with improvements and development together with suppliers to minimise risks and increase opportunities. The ongoing lack of components entails an increased need for attention to always include our Code of Conduct for suppliers in new agreements with suppliers and to ensure that we do business in line with our internal Code of Conduct even when competition has increased.

Supplier assessment

The work of evaluating suppliers based on the Supplier Code of Conduct is decentralised in our companies, we train and support the organisation in the area and provide a platform for managing supplier follow-up and storing supplier data. The platform for risk analysis and supplier evaluations is a global platform that enables a clear follow-up process in which suppliers receive a grade based on reported responses. Our companies use the various methods of risk analysis, self-assessments, evaluations and audits to varying degrees to follow up their suppliers. We encourage our companies to use reported results from supplier evaluation as a basis for dialogue with suppliers and, in the event of identified deviations, to develop a deadline driven corrective action plan.

- **Risk analysis** based on country-specific indices, such as Transparency International, Environmental Performance Index and ITUC Global Rights Index. The risk analysis provides overall information on which areas require additional focus.
- **Self-assessment and evaluation** consists of questions to suppliers that cover Addtech's Supplier Code of Conduct, where areas of zero tolerance are particularly weighted. In the self-assessment, documentation linked to certifications and legislation is recorded, areas of examples are management systems, conflict minerals and regulated topics.
- **Sustainability reviews** includes analysis of suppliers documentation within sustainability or sustainability audits performed by the companies, third parties or in collaboration with the customer. The pandemic has had a negative impact on the capacity to conduct on-site audits. If deviations are identified, each company is responsible for communicating such deviations to its suppliers and for producing a fixed-term plan for corrective measures.

Prioritisation

All of Addtech's areas of strategic priority are included within the three focus areas. The table below presents our most material sustainability areas and their relation to the UN Sustainable Development Goals. The questions are ranked according to the company's and the stakeholders' prioritisation based on the materiality and stakeholder analysis performed.

All of the global goals are of significance to Addtech, but to be able to focus our efforts and drive them forward, prioritisation is necessary. Our material areas are followed up with GRI indicators and our own key indicators.

Priority	Sustainable Development Goals	Implication for Addtech	Area	KPI
		PRIORITISED AREAS		
1	7: Affordable and clean energy 7.2 Increase the share of renewable energy 7.3 Double the global rate of improvement in energy efficiency	That we increase the share of business contributing to the transformation to renewable energy consumption and improve the efficiency of our own energy consumption and transition to renewable energy sources. Also included in goals 9 and 13.	Sustainable Business; Sustainable Organisation	GRI 302-1 Energy consumption GRI 302-3 Energy intensity GRI 302-4 Reduction of energy consumption
2	13: Climate action 13.3 Improve knowledge and capacity on climate change mitigation	That we map, set targets and reduce our emissions.	Sustainable Organisation	GRI 305-1 Scope 1 GRI 305-2 Scope 2 GRI 305-3 Scope 3 GRI 305-4 GHG emissions intensity GRI 305-5 Reduction of GHG emissions
3	9: Industry, innovation and infrastructure 9.4 Upgrade infrastructure and retrofit industries to make them sustainable	That we increase the share of business that offers technical solutions for the transformation to sustainable innovation, industries and infrastructure.	Sustainable Business	GRI 201-1 Direct economic value generated and distributed Addtech KPI: The share of sales that contributes to sustainable development in total by business area and by global goal.
4	8: Decent work and economic growth 8.8 Protect labour rights and promote safe and secure work environments	That we ensure a long-term perspective in our growth without risking working conditions for our own employees and at our suppliers.	Sustainable Organisation; Sustainable Supply Chain	GRI 102-8 Information on employees and other workers GRI 401-1 New employee hires and employee turnover GRI 404-1 Average hours of training per year per employee GRI 404-3 Percentage of employees receiving regular performance and career development reviews Addtech KPI: Share of the purchase volume for which suppliers participated in a sustainability assessment based on the Supplier Code.
5	5: Gender equality 5.5 Ensure women's full and effective participation and equal opportunities for leadership at all levels of decision making.	That we have a gender equal and inclusive working environment that promotes female leadership.	Sustainable Organisation	GRI 405-1 Diversity of governance bodies and employees GRI 404-1 Average hours of training per year per employee, by gender Addtech KPI: Proportion of women in leading positions Addtech KPI: Number of reported whistle-blower cases Addtech KPI: Proportion of employees who ever
6	12: Responsible consumption and production 12.2 Sustainable management and efficient use of natural resources	Increasing the share of transactions within the circular offering and ensuring that our offering achieves an efficient use of natural resources.	Sustainable Business; Sustainable Organisation; Sustainable Supply Chain	Addtech KPI: Percentage of the purchase volume for which the supplier signed the Supplier Code Addtech KPI: Share of the purchase volume for which suppliers participated in a sustainability assessment based on the Supplier Code
7	3: Good health and well-being 3.4 Reduce premature mortality from non-communicable diseases and promote mental health	That we work systematically to promote health and safety at our workplaces.	Sustainable Organisation	GRI 403-1 Occupational health and safety management system GRI 403-9 Work-related injuries GRI 403-10 Work-related ill health

Materiality analysis

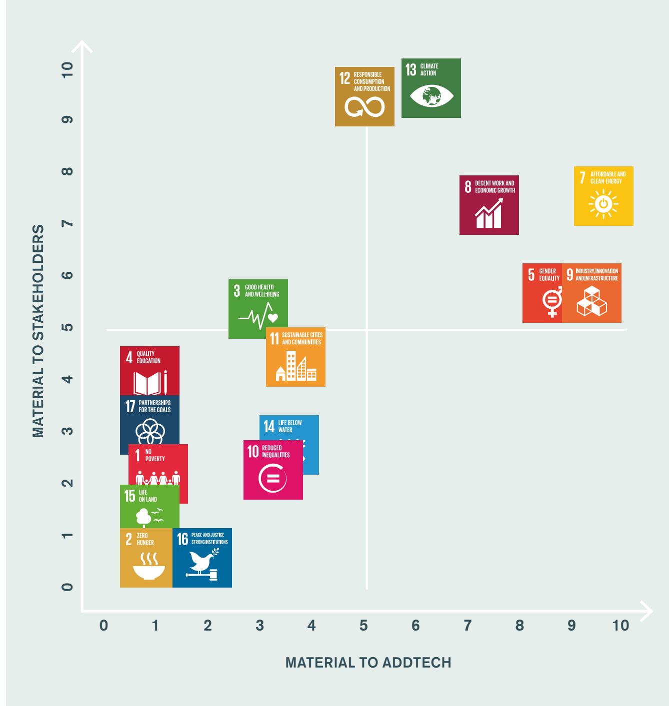
To be able to work strategically and in a manner integrated with sustainable development, we update our materiality analysis and stakeholder dialogue regularly, and set out targets for our long-term work. The most recent materiality analysis was approved by Group Management in November 2019, with the aim of updating the analysis every three years.

Material to stakeholders

In connection with the materiality analysis, a stakeholder dialogue is held with prioritised stakeholder groups. The UN Sustainable Development Goals are used as a starting point for the dialogue. The dialogue comprises in-depth interviews and surveys in which the stakeholder groups respond to questions regarding which sustainability issues are of importance for them and regarding their expectations of Addtech's continued sustainability strategy. They also have the opportunity to prioritise the global goals most important to those with whom Addtech works. The results are reported in the Y axis of the materiality matrix: Material to Stakeholders.

Material to Addtech

In a survey, the Board of Directors and Management Group for Addtech prioritises the sustainable development goals according to what goals can constitute risks, as well as business opportunities for the Group. The responses are then presented at a workshop with the Management Group where the relation between Addtech's ambitions and stakeholder expectations are discussed. The results are reported in the X axis of the materiality matrix: Material to Addtech.



STAKEHOLDER GROUP	DIALOGUE METHOD	IMPORTANT ISSUES FOR THEM	PRIORITISED SUSTAINABLE DEVELOPMENT GOALS
Shareholders	In-depth interviews with a selection of our largest shareholders and analysts that follow the Addtech share, capital market day, Annual General Meeting, Annual Report, Interim Reports and website.	Earnings trend, human rights, anti-corruption, climate impact, sustainable business models and gender equality.	5 Gender equality; 8 Decent work and economic growth; 9 Industry, innovation and infrastructure; 13 Climate action
Employees	In-depth interviews with focus groups from every business area, sustainability surveys for selected employees, development interviews, courses and the intranet.	Gender equality, working conditions, skills development, responsible suppliers, sustainable business opportunities and climate impact.	5 Gender equality; 7 Affordable and clean energy; 8 Decent work and economic growth; 12 Responsible consumption and production; 13 Climate action
Customers	In-depth interviews with a selection of our largest customers, the companies' own channels and meetings and the website.	Innovation, human rights, responsible resource consumption, anti-corruption, working conditions and climate impact.	9 Industry, innovation and infrastructure; 12 Responsible consumption and production; 13 Climate action
Suppliers	In-depth interviews with a selection of our most important suppliers, the subsidiaries' own channels and meetings, supplier evaluations and visits.	Business ethics, customer satisfaction, collaboration and the climate impact.	7 Affordable and clean energy; 8 Decent work and economic growth; 9 Industry, innovation and infrastructure; 11 Sustainable cities and communities

Climate-related opportunities

In our strategy, we have identified a number of business opportunities linked to the climate area. Together with our companies, we have the opportunity to have a positive impact on our customers' efficiency and their reduced climate impact. Our products and solutions entail, for example, upgrading the power grid, energy efficiency improvement in customers' production, key components for customers producing renewable energy and solutions that increase our customers' resilience to climate change. Internally, we work for effective and climate-efficient freight transport, general energy efficiency, purchasing of renewable energy and a growth strategy in climate-friendly markets.

CLIMATE-RELATED RISK ASSESSMENT

Transition risks	Material risks and potential effects	Mitigating activities ongoing (O), planned (P)
Policies and regulations		
	Increased taxes on carbon-intensive products, activities and services – increased operating costs for energy and freight transport.	Optimisation and streamlining of freight transport (O). Increased awareness and setting of targets for energy efficiency in companies with proprietary production (O).
	Increased reporting requirements, such as the EU Taxonomy – unclear criteria can cause difficulties in reporting.	Follow the development of reporting criteria for the EU Taxonomy and analysis of Addtech based on established criteria (O). Work continuously to develop the reporting for all our companies (O).
Technology		
	Substitution of existing products and services with more climate-friendly alternatives – reduced demand for products that may have a higher climate impact.	Strategy to increase awareness of the climate impact (O) of different products and services.
	Costs for transition to climate-friendly technology – investment risk.	Climate risk analysis in connection with all major investments (P).
Market		
	Changed customer behaviours – may cause changes in the market.	Strategy to develop in sustainable business (O).
	Increased costs for raw materials – increased operating costs.	Strategy to increase awareness of the impact on climate and on pricing (O) of products and services.
Reputation		
	Changed requirements from customers – lost sales.	Strong partnerships with key customers and suppliers regarding climate-related effects (O, P).
	Stigmatisation of certain markets – lost sales.	Strong partnerships with key customers and suppliers regarding climate-related effects (O, P).
	Increased demands from stakeholders – negative feedback.	Strategy to be in line with stakeholder requirements (O).
Physical risks		
Short-term	Increased consequences of extreme weather – increased operating costs.	Implementing physical risk analysis for key suppliers and for our companies (0, P).
Long term	Rising average temperature – increasing operating cost.	Implementing physical risk analysis for key suppliers and for our companies (0, P).
	Rising sea levels – increasing operating costs.	Implementing physical risk analysis for key suppliers and for our companies (0, P).
	Changed precipitation patterns and major weather variations – increasing operating costs.	Implementing physical risk analysis for key suppliers and for our companies (0, P).

Key indicators

For each focus area, Addtech sets long-term targets that are measurable and time-limited to 2030 in accordance with the UN's Sustainable Development Goals (SDG). By expressing this direction, we clarify where we want to go and the value that we generate. Aided by the continuous follow-up of our key indicators, we safeguard our development in the right direction.

In 2020, a process was conducted to increase transparency, data quality and reliability in our key indicators. This development ensures greater transparency in how our companies measure themselves in terms of environmental, social and economic sustainability and that this takes place in a uniform manner throughout the Group. During the year, all individuals responsible for reporting received further training in sustainability reporting. To ensure a reliable climate data process, the method was reviewed by a third party based on the GHG protocol.

KPI		2021/2022	2020/2021	2019/2020
THE BUSINESS				
Sustainable development				
Percentage of sales from business that contributes to sustainable development (%)*		58	54	37
Distribution by business area (%)	Automation:	14	15	9
	Electrification:	17	18	18
	Energy:	29	29	37
	Industrial Solutions:	25	21	11
	Process Technology:	15	17	25
Distribution by sustainable development goal (SDG)(%)	SDG 3 Good health and well-being:	13	13	4
	SDG 7 Affordable and clean energy:	27	27	28
	SDG 8 Decent work and economic growth	7	7	–
	SDG 9 Industry, innovation and infrastructure:	27	23	38
	SDG 11 Sustainable cities and communities:	14	12	9
	SDG 12 Responsible consumption and production:	4	5	2
	SDG 14 Life below water:	2	6	18
	Other SDGs:	6	7	1
Economic value				
Financial value generated (SEK million)		14,038	11,336	11,735
Financial value distributed (SEK million)		13,391	10,977	11,510
Of which, manufacturing costs (SEK million)		10,081	8,221	8,725
Of which, salaries and remunerations (salaries, pensions, payroll taxes, social security contributions) (SEK million)		2,499	2,102	2,114
Of which, disbursements to creditors (SEK million)		72	65	62
Of which, disbursements to shareholders (SEK million)		323	269	336
Of which, disbursements to governments (SEK million)		416	320	273
Remaining in the company (SEK million)		647	359	225

* see calculation method

KPI	2021/2022	2020/2021	2019/2020
ORGANISATION (SOCIAL)			
Diversity & equal opportunity			
Proportion of women in leading positions (%)*	20	19	17
Proportion of women, administration, finance & purchasing (%)*	64	65	65
Proportion of women, sales (%)*	17	15	14
Proportion of women, technical service, support, production, warehousing (%)*	17	18	19
Proportion of women, total (%)	26	26	26
Proportion of employees who ever felt discriminated (%)* (Survey is done every two years)	–	2.3	–
Number of reported whistle-blower cases*	13	6	0
Employment			
Average number of employees	3,317	3,068	2,913
Percentage of permanent employees (%)	95	91	91
Percentage of full-time employees (%)	92	94	94
Personnel turnover (%)	14	13	10
Personnel turnover, women (%)	15	13	10
Personnel turnover, men (%)	13	13	10
Health & safety			
Absence due to illness (%)	3	3	3
Number of accidents*	44	38	32
Number of workdays lost due to accidents	82	178	–
Number of fatal accidents	0	0	0
Training & development			
Total number of invested training hours	28,016	23,305	24,137
Number of invested training hours/employee	8.5	7.6	8.3
Percentage of invested training hours per female employee, weighted gender distribution (%)	54	57	54
Percentage of invested training hours per male employee, weighted gender distribution (%)	46	43	46
Percentage of documented performance and development interviews (%)	53	60	63

* see calculation method

KPI	2021/2022	2020/2021	2019/2020
ORGANISATION (ENVIRONMENT)			
Emissions of greenhouse gases*			
Carbon dioxide intensity (total CO_2e tonnes/net sales SEK million)	2.05	2.21	2.54
Total emissions (tonnes CO_2e)	28,711	25,165	29,182
SCOPE 1 (tonnes CO_2e)	2,041	1,910	2,071
Emissions from own vehicle fleet (tonnes CO_2e)	1,500	1,356	2,071
Emissions combustion fuels (tonnes CO_2e)	541	554	–
SCOPE 2 (tonnes CO_2e)	3,709	3,395	3,979
Emissions, energy consumption – Location Based Method (tonnes CO_2e)	3,709	3,395	3,979
Emissions, energy consumption – Market Based Method (tonnes CO_2e)	4087	4250	N/A
SCOPE 3 (tonnes CO_2e)	22,961	19,860	23,132
Emissions freight, upstream & downstream (tonnes CO_2e)	21,782	18,733	18,362
Emissions freight, upstream (tonnes CO_2e)			10,581
Emissions freight, downstream (tonnes CO_2e)			7,781
Whereof data from carrier suppliers (%))	43	45	–
Whereof data calculated using distance & spend based method (%)	57	55	–
Business travel emissions, air and train (tonnes CO_2e)	1,097	1,021	4,770
Emissions, extraction, production and transport of purchased fuels (tonnes CO_2e)	82	106	–
Energy consumption (Scope 2)			
Total energy consumption (MWh)	29,465	26,043	24,935
Whereof electricity (MWh)	18,205	16,420	16,317
Whereof heating (MWh)	11,260	9,623	8,618
Share of electricity from renewable sources (%)	68	63	59
Energy consumption in relation to net sales (%)	2.1	2.3	2.1

* see calculation method

KPI	2021/2022	2020/2021	2019/2018
THE SUPPLY CHAIN			
Follow-up of suppliers*			
Share of purchase volume where the Supplier Code of Conduct has been signed (%)	55	49	–
Share of purchase volume where the supplier has participated in a sustainability self-assessment based on the Supplier Code of Conduct (%)	31	24	–
Share of purchase volume where the supplier has participated in a sustainability documentation review or sustainability audit (%)	5	11	–
Share of purchase volume for which a sustainability dialogue has taken place (%)	Question divided into three for greater precision – see above and calculation method	Question divided into three for greater precision – see above and calculation method	51

* see calculation method

Calculation methods

Percentage of sales from business that contributes to sustainable development

Our companies are responsible for reporting a mapping of their product and service offerings with a positive impact on the UN Sustainable Development Goals (SDGs). Sales, as above, divided by total sales, provides the share contributing to sustainable development. The reported percentage of the companies' sales contributing to the SDGs can, on a case-by-case basis, reasonably be rounded off due to limited data availability. For the year's reporting, the exact percentage was reported, a change from previous years when the KPI was rounded to the nearest tens. Some companies' sales are related to resellers or distributors. Because this causes difficulties in obtaining knowledge regarding the end customer's area of use, we exclude this group.

Proportion of women in leading positions

The calculation of the number of women working in management groups is performed at the Group and company level, in relation to the total number of employees that work in management groups. Employees in management teams must be entitled to make decisions to be counted as holding "leading positions". This represents a clarification of the definition of "leading position" from 2019/2020, when a proportion of the companies reported only to the CEO and vice CEO.

Proportion of women, by personnel category

To take note of employees with more than one area of responsibility, the personnel categories are weighted based on the amount of time devoted to each position.

Organisation (Social)

Both the average number of employees and employees at the end of the period have been used to calculate the KPIs in the table.

Proportion of employees who ever felt discriminated

The number of responses of the nature "Disagree" to the statement "I have never been discriminated against at work" is set in relation to the number of employees who participated in the employee survey. The question is posed in the employee survey, which is conducted every second year.

Number of reported whistle-blower cases

Area	Number of reported cases	Number of investigations completed with measures being implemented
Business ethics related (e.g. corruption, anti-trust)	4	4
HR-related (e.g., discrimination and management-related)	9	9
Other	–	–

All cases are reported to an external whistle-blower function. The cause of the whistle blowing may relate to any kind of impropriety or irregularity that is in conflict with our Code of Conduct.

Number of accidents

For the calculation of the number of accidents, each company in the Group has reported the number of work-related injuries, but not injuries caused during travel to and from work.

Follow-up of suppliers

The data collection was developed in the previous year by dividing the metrics for supplier evaluation into three areas.

- Share of purchase volume where Addtech's Supplier Code of Conduct has been signed – for cases where the supplier cites its own Supplier Code and internal code, a comparative analysis has been performed. This is included as our companies have suppliers who are large multi-national companies where the opportunity to influence is smaller.
- Share of purchase volume where the supplier has participated in a sustainability self-assessment based on the Supplier Code of Conduct – the supplier makes a sustainability self-assessment in the form of a survey in which the questions cover Addtech's Supplier Code of Conduct. The supplier then receives a rating on sustainability.

Emissions of greenhouse gases

Addtech's emissions are calculated according to the Greenhouse Gas Protocol (GHG protocol) and are reported in accordance with three different scopes. The precautionary principle has been applied to all calculations. Newly acquired companies that were part of the Group less than three months before the beginning of the reporting period are not included in the reporting.

Scope 1 pertains to direct emissions from operations owned and controlled by Addtech. The operational control method has been applied.

- The kilometres driven by the vehicle fleet are calculated with average emissions of 124 g CO_2e/km collected from leasing suppliers in the Nordic region.
- Combustion of fuels was calculated applying the conversion rates and emission factors stated by the Swedish Energy Agency and the Swedish Environmental Protection Agency.

Scope 2 pertains to indirect emissions from purchased and consumed electricity, heating and cooling. Emissions are reported in accordance with both the location and market-based method, where historical location-based emissions were recalculated.

- Emission factors for electricity are from AIB, IEA and country-specific reports.
- For district heating, an average emission factor for Europe is applied 112g CO_2e/kWh.
- District cooling is mainly produced through a compression process and therefore the country mix for electricity is divided by three to calculate emissions.
- Electricity from electric cars in the vehicle fleet is also reported in Scope 2, where the calculation is based on each km driven consuming 19g CO_2e.

Scope 3 pertains to indirect emissions from sources that are not owned or controlled by Addtech. This year, categories 3, 4, 6 and 9 were included. The calculations for freight (categories 4 and 9) are based on three methods: data from freight companies and the cost- and distance-based calculation methods. The price of maritime freight increased significantly in 2021 compared with the preceding year. To obtain comparable data for the reported amounts under the cost method, a percentage decrease of 311% was applied to the price. The reduction is based on the Global Container Freight Rate Index of Statista and samples of own price increases. Freight emissions, where the supplier/customer is responsible for the transport, are part of the data we compile and of our climate impact. The figure is not included in the table due to the challenge of reliable data.

- EcoTransit's calculator was used to calculate the distance-based method.

Calculations for business travel (category 6) include travel by air and rail, with air accounting for 99.7 percent of emissions.

- Flights are calculated using the ICAO Carbon Emissions Calculator tool or reports from travel agencies where we calculated with RFI factor 2 and recalculated historical data to include the high-altitude effect.
- For rail travel, a European average of 28g CO_2e/km provided by the European Environment Agency (EEA) was applied.

Calculations from the extraction, production and transport of fuels (category 3) refer to fuel that has been purchased to produce energy in operations.

- Calculated with the help of the conversion rate and emission factors provided by the Swedish Energy Agency and the Swedish Environmental Protection Agency.

SUSTAINABILITY FACTS

Auditor's Limited Assurance Report on Addtech AB's Sustainability Report and statement regarding the Statutory Sustainability Report

To Addtech AB, org. no. 556302-9726

Introduction

We have been engaged by the Board of Directors and the Managing Director of Addtech AB to undertake a limited assurance engagement of Addtech AB's Sustainability Report for period 2021-04-01 – 2022-03-31. Addtech AB has defined the scope of the Sustainability Report that also is the Statutory Sustainability Report on page 133.

Responsibilities of the Board of Directors and the Managing Director

The Board of Directors and the Managing Director are responsible for the preparation of the Sustainability Report including the Statutory Sustainability Report in accordance with applicable criteria and the Annual Accounts Act respectively. The criteria are defined on page 133 in the Sustainability Report and are part of the Sustainability Reporting Standards published by GRI (The Global Reporting Initiative), that are applicable to the Sustainability Report, as well as the accounting and calculation principles that the Company has developed. This responsibility also includes the internal control relevant to the preparation of a Sustainability Report that is free from material misstatements, whether due to fraud or error.

Auditor's responsibility

Our responsibility is to express a conclusion on the Sustainability Report based on the limited assurance procedures we have performed and to express an opinion regarding the Statutory Sustainability Report. Our assignment is limited to the historical information that is presented and does not cover future-oriented information.

We conducted our limited assurance engagement in accordance with ISAE 3000 Assurance engagements other than audits or reviews of historical financial information (revised). A limited assurance engagement consists of making inquiries, primarily of persons responsible for the preparation of the Sustainability Report and applying analytical and other limited assurance procedures. Our examination regarding the Statutory Sustainability Report has been conducted in accordance with FAR's accounting standard RevR12 The auditor's opinion regarding the Statutory Sustainability Report. A limited assurance engagement and an examination according to RevR 12 is different and substantially less in scope than an audit conducted in accordance with International Standards on Auditing and generally accepted auditing standards in Sweden.

The firm applies ISQC 1 (International Standard on Quality Control) and accordingly maintains a comprehensive system of quality control including documented policies and procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements. We are independent of Addtech AB in accordance with professional ethics for accountants in Sweden and have otherwise fulfilled our ethical responsibilities in accordance with these requirements.

The limited assurance procedures performed and the examination according to RevR 12 do not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. The conclusion based on a limited assurance engagement and an examination according to RevR 12 does not provide the same level of assurance as a conclusion based on an audit.

Our procedures are based on the criteria defined by the Board of Directors and Managing Director as described above. We consider these criteria suitable for the preparation of the Sustainability Report.

We believe that the evidence obtained is sufficient and appropriate to provide a basis for our conclusions below.

Conclusions

Based on the limited assurance procedures performed, nothing has come to our attention that causes us to believe that the Sustainability Report is not prepared, in all material respects, in accordance with the criteria defined by the Board of Directors and Executive Management.
A Statutory Sustainability Report has been prepared.

Stockholm, 5 July, 2022

KPMG AB

Joakim Thilstedt
Authorized Public Accountant

Torbjörn Westman
Expert Member of FAR